Serendib University Endowment Fund: USD 10 million conservative mandate

RECOMMENDATION: ACCEPT the mandate with the portfolio and limits below. Avoiding large losses was the design goal: worst drawdown 17.9% versus 35.8% for 60/40 and 55.2% for the S&P 500, at a 7.0% compound return that meets the 6.5% objective.

Recommended portfolio (monthly rebalanced, long-only)

Asset	Weight	Role
AGG	61%	Capital preservation core
GLD	19%	Real asset / crisis hedge
XLK	15%	Growth engine
SPY	5%	Core equity
EFA, EEM, XLE	0%	Excluded: no diversification gain

Risk dashboard: VaR, ES and EVT side by side

One-day loss (% NAV)	Normal	Historical	EVT
95% VaR	0.68%	0.63%	0.62%
99% VaR	0.97%	1.13%	1.15%
95% ES	0.86%	0.97%	0.97%
99% ES	1.11%	1.62%	1.62%
99.9% ES	1.41%	3.62%	2.99%
99% ES in USD	111,384	161,800	161,769

Performance KPIs

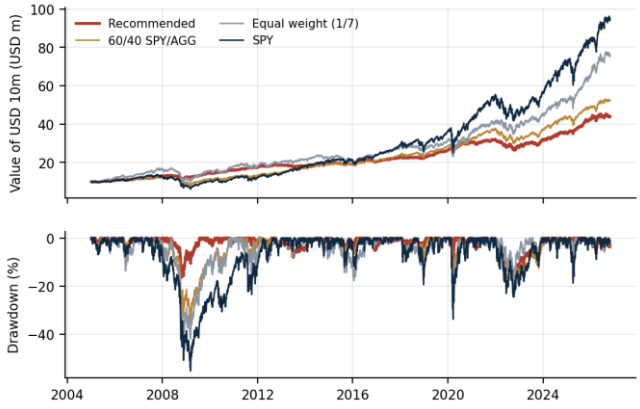
KPI (2005-26)	Rec.	60/40	SPY
CAGR	7.0%	7.9%	10.9%
Volatility	6.8%	11.3%	18.9%
Sharpe / Sortino	0.67 / 0.95	0.51 / 0.72	0.51 / 0.72
Beta / Jensen alpha	0.22 / +2.4%	0.59 / +0.1%	1.00 / 0.0%
Max drawdown	-17.9%	-35.8%	-55.2%
Calmar	0.39	0.22	0.20

Backtest: 4,738 out-of-sample days, 2007-2026

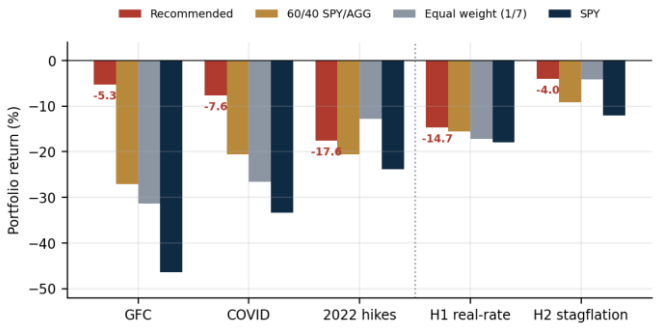
Model validation (99% VaR)	Exceptions	Kupiec p	Basel now
Normal	82 (exp. 47)	<0.001	Red
Historical	57	0.173	Yellow
FHS-EWMA (selected)	50	0.705	Green

Stress tests

Stress scenario	Return	USD
GFC (Sep 08 - Mar 09)	-5.3%	-0.53m
COVID crash (Feb-Mar 20)	-7.6%	-0.76m
2022 rate hikes	-17.6%	-1.76m
Hypothetical: +200bp real-rate shock	-14.7%	-1.47m
Hypothetical: stagflation / oil	-4.0%	-0.40m



Growth of USD 10m and drawdown, 2005-2026



Scenario returns vs comparators

Committee limits

Limit	Requirement	Portfolio
Return	>= 6.5% p.a.	7.0% Met
Volatility	<= 7%	6.8% Met
99% ES	<= 2.0% NAV	1.62% Met*
Drawdown	<= 20%	17.9% Met
Stress loss	<= 20%	17.6% worst, Met
Risk share	<= 35% / asset	GLD 35% Met

**In turbulent regimes ES rises to 2.42% (calm: 1.25%), above the limit.*

What can go wrong, and what we do about it

- **Stocks and bonds fall together** (2022: -17.6%). SPY-AGG correlation is +0.45 today. Trigger: above +0.5 for 60 days.
- **Risk concentration:** gold and technology are 65% of volatility on 34% of capital. Capped at 20% and 15%.
- **Backward-looking returns:** gold and tech alpha may not repeat. Re-estimate annually.
- **Drawdown plan:** review at -12%, pre-authorised de-risking toward AGG at -17%.
- **Confidence:** 99% ES 90% band 1.44% to 1.82%; 99.9% figure is an extrapolation.

Data: Yahoo Finance adjusted closes, 3 Jan 2005 to 27 Oct 2026; risk-free rate 2.5% (proxy); one-day horizon; monthly rebalancing, before costs. Past performance does not guarantee future results. See the full 13-page report for methodology, assumptions and limitations.